

The 7 most common reasons Ohio Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Ohio families a month of benefits — each with the ODM citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. ODM does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Ohio private-pay rate — roughly **\$9,034–\$10,038**. Most families lose a month to this timing gap, not to ineligibility.

The 7 denial traps to check before you file

Every trap below is drawn from ODM policy. Verify each against the citation shown before you submit the Medicaid application.

1

Not enough income deposited into the QIT in the month eligibility is sought

Ohio only requires that the income above the Special Income Level be diverted — but enough must be deposited that month to bring countable income to or below the limit. Per OAC 5160:1-6-03.2(J), any income that should have been placed into the QIT but was not is counted as available to the individual for that month, which makes the applicant over-income and ineligible for that month. There is no back-dating; the QIT must be funded in each month coverage is sought.

Source: OH ODM, OAC 5160:1-6-03.2(J) and (K)

2

Trust is not irrevocable

OAC 5160:1-6-03.2(D)(1) requires the trust to be irrevocable. A revocable trust, or one that can be revoked through court action, does not meet the requirement and is rejected.

Source: OH ODM, OAC 5160:1-6-03.2(D)(1)

3

Resources or property other than income deposited into the QIT

Only the individual's own income may be placed into the QIT (plus any interest earned on the trust corpus). Per OAC 5160:1-6-03.2(D)(2) and (D)(5), depositing resources — savings, the proceeds of a sale, gifts, or another person's income such as a spouse's — invalidates the QIT and can push the applicant over the \$2,000 resource limit.

Source: OH ODM, OAC 5160:1-6-03.2(D)(2), (D)(5)

4

Trustee fails to distribute by the end of the same calendar month

Per OAC 5160:1-6-03.2(E), distributions must be made no later than the last day of the calendar month in which the income was placed in the QIT account — Ohio does not allow the funds to carry into the following month. Income left to accumulate in the trust over what was distributed under paragraph (E) may be treated as a transfer of assets for less than fair market value and subject to a penalty under OAC 5160:1-6-06.5.

Source: OH ODM, OAC 5160:1-6-03.2(E), (M)

5

Trust administration expenses exceed the \$15/month cap without ODM approval

OAC 5160:1-6-03.2(E)(4) lets the trustee pay bank fees, attorney fees, and other expenses to establish and administer the trust only up to fifteen dollars per month. If \$15 is not enough, the individual must request — and ODM must approve — a higher amount. Paying more than the approved amount out of the trust is an unauthorized distribution.

Source: OH ODM, OAC 5160:1-6-03.2(E)(4)

6

Missing or defective State-of-Ohio remainder (payback) clause

Per OAC 5160:1-6-03.2(D)(6), the trust must provide that on the beneficiary's death the remaining trust property is paid to the Ohio Department of Medicaid (or successor) up to the total medical assistance paid, before any other person or creditor. A missing or defective payback clause is a denial cause; the ODM template already contains the required clause.

Source: OH ODM, OAC 5160:1-6-03.2(D)(6)

7

Unauthorized payment from the trust to the individual or a third party

Distributions other than those authorized in paragraph (E) are penalized: per OAC 5160:1-6-03.2(N) a payment made directly to the individual is counted as income in the month received, and per (O) a payment to a third party that is not in-kind support is subject to the transfer-of-assets penalty under OAC 5160:1-6-06.5.

Source: OH ODM, OAC 5160:1-6-03.2(N), (O)

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Ohio Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if ODM rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the Ohio kit →](#)

Verify the sources yourself

- Official ODM template — [Ohio Administrative Code Rule 5160:1-6-03.2](#) (effective June 1, 2021; last updated September 12, 2025)
- ODM policy manual — [Ohio Department of Medicaid](#)

— James Whitfield, Miller Trust Guide · millertrustguide.com

Informational only. This checklist is not legal advice and is not a substitute for consultation with a licensed attorney. We are not a law firm and we do not practice law. We do not draft legal documents. State Medicaid rules vary and change; verify all information with ODM and an attorney licensed in Ohio before acting.